

Annual Additions (IRC 415) Test Failure Information
July 1, 2025 - June 30, 2026
DEERFIELD BEHAVIORAL HEALTH OF WARREN LLC 403(B) PLAN
800643

The Annual Additions (IRC 415) limit for the plan year ending 2026 is the lesser of \$72,000 or 100% of a participant's compensation for the year.

Sources of money included within the Annual Additions (IRC 415) limit are:

- employer contributions
- employee deferral contributions (i.e. pre-tax employee deferral, Roth)
- employee post-tax contributions (i.e. voluntary after-tax)
- forfeitures allocated to the participant for the plan year (or applicable limitation year)

The procedures for correcting excess annual additions are governed by the IRS's Employer Compliance Resolution System (EPCRS). In addition to refunding the excess amount, the Self Correction Program (SCP) rules under EPCRS require an employer to have established practices and procedures in place to assure that this operational error does not occur in future years.

What does an Annual Additions (IRC 415) test failure mean to an affected participant and what should the employer communicate to the participant?

1. The excess annual addition and attributable match (if applicable) must be removed from the participant's account.
2. The excess amount refunded to the participant will be taxed in the year of distribution.
3. The distribution is subject to a 10% federal income tax, unless the participant completes a Form W-4R indicating he/she either does not want taxes withheld or wants an additional amount withheld.
4. The distribution is not subject to the following:
 - a. 20% mandatory tax withholding; or
 - b. Additional 10% tax if the participant is under age 59½.
5. The distribution is not eligible for rollover to another qualified plan or IRA.
6. The participant will receive a Form 1099-R for the calendar year in which the refund was made.

What does the Annual Additions (IRC 415) test failure mean to the employer?

1. The Compliance Test Excess Summary provides the amount of the excess annual addition and any applicable earnings that are required to be returned from the participant account.
2. The excess amount must be removed from the participant's account so we can complete year-end administration. Please keep in mind that if any of the information is modified as reported in the attached paperwork, the testing results will be affected.
3. The employer must establish practices and procedures to assure that this operational failure does not occur in future years.
4. The employer should keep a record of the excess/refund for auditing purposes.
5. The employer should communicate the excess/refund to the affected participants. For your convenience, we have attached a sample participant communication which may need to be modified to meet each individual's situation.